I can’t recall any meeting with economists where there was a consensus or even a near-consensus on the policy advice to the RBI. This may be no surprise given the cliché of two economists and three opinions, but for me it was also comforting since no matter how I decided, there would be someone agreeing with me!

Needless to say, we were spoilt for choice by way of the large talent pool of economists we could draw from. But that very luxury of choice posed a problem for drawing up the list of invitees for the meeting. Our experience told us that the optimal size for meaningful and effective consultation was fifteen which meant we had to make ruthless choices. The grapevine had it that being invited to these meetings was seen as a badge of honour in professional and media circles, which only increased our obligation to ensure that the process of selecting invitees for each round of meetings was objective and also was seen to be objective. We developed a roster but there would inevitably be complaints and grievances after each meeting from some of those left out.

Internal Strategy Meetings

There are two reports accompanying each policy review. The report on macroeconomic and monetary developments, abbreviated for convenience as the money macro report, containing an analysis by the Reserve Bank staff of the macroeconomic situation, financial conditions and market developments, is released a day prior to the policy review, while the governor’s monetary policy statement is released on the day of the policy.[1] These two reports would be works in progress, constantly being updated and edited, till they went to print a day before their scheduled release. The two reports are prepared by two different departments of the Reserve Bank on the logic that the money macro report should be a stand-alone, objective document uninfluenced by the proposed policy action which will be contained in the governor’s statement.

One of the critical inputs into the monetary policy is the internal monetary policy strategic group which meets at least twice before every